LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

# What Is Contract Receivable Discounting ?

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# Table of Contents


| Module Number | Technical Course Subject / Chapter Theme | Page no. |
|---|---|---|
| **Module 1** | Theoretical Foundations and Product Philosophy | 3 |
| **Module 2** | Structural Taxonomy and Comparative Analysis | 5 |
| **Module 3** | The End-to-End Operational Lifecycle | 7 |
| **Module 4** | Transactional Credit Underwriting & Risk Metrics | 9 |
| **Module 5** | Watertight Legal Security and Charge Creation | 10 |
| **Module 6** | Sectoral Sizing and Market Alignment | 12 |
| **Module 7** | Commercial Pricing Mechanics and Financial Models | 13 |
| **Module 8** | Regulatory Compliance & Technical Defaults | 14 |
| **Module 9** | Comprehensive Real-World Case Study (Mumbai) | 16 |
| **Module 10** | 10-Question Certification Examination | 19 |


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# Module 1: Theoretical Foundations & Product Philosophy

## 1.1 Product Philosophy and Structural Asymmetry

Contract Receivable Discounting (CRD) represents a sophisticated evolution in commercial banking, specifically engineered to resolve the severe working capital constraints faced by service-heavy, project-driven enterprises in India. Unlike standard invoice discounting, which relies on the unconditional sale of physical goods and immediate billing validation, CRD addresses the monetization of progressive, milestone-based billings generated under long-term commercial, industrial, or government contracts.

In traditional commerce, credit lines are asset-backed, supported by tangible inventory or confirmed invoice assets. However, in project execution—such as infrastructure development, large-scale software integrations, engineering-procurement-construction (EPC) ventures, and heavy engineering—the primary assets of a company exist in the form of contractual milestone entitlements. These assets represent 'future-ready' receivables or 'accrued but unbilled' revenue. There is a structural credit mismatch: the contractor must incur substantial upfront operational expenditures (Work-in-Progress or WIP) for mobilization, materials, and labor, while cash inflows are deferred until formal billing milestones are certified by the project owner (the Anchor).

## 1.2 The Deeming Fiction under Indian GST and Inter-State Logistics

The legal foundation of contract-level transaction routing is intrinsically aligned with Indian indirect tax structures. Under Section 10(1)(b) of the Integrated Goods and Services Tax (IGST) Act, 2017, a legal 'deeming fiction' is established regarding inter-state movement. The statute defines that where goods are delivered by the supplier to a recipient or any other person on the direction of a third person, it shall be deemed that the third person has received the goods.

This provision is vital for structured contract financing, especially in 'Bill-to-Ship' configurations. For a contractor executing a site development project, raw steel or heavy machinery may be billed to the contractor's head office (Bill-to) but shipped directly to the client's project site (Ship-to). The bank leverages this statutory alignment to establish that ownership and tax liabilities are properly structured, and that the resulting milestone billing possesses absolute legal validity, fully auditable through the government's Goods and Services Tax Network (GSTN) GSTR-1 and GSTR-2B filing APIs.

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## 1.3 Paradigm Shift: From Balance Sheet Lending to Flow-Based Credit

Historically, commercial banks in India appraised corporate creditworthiness through the lens of static balance sheet ratios. This legacy underwriting model heavily penalized high-growth, service-oriented MSMEs that lacked extensive fixed asset bases. The modern approach, championed by the Reserve Bank of India (RBI) and structured trade finance desks, marks a paradigm shift to flow-based transaction underwriting. Under this model, the bank evaluates the transaction velocity, the underlying contract's structural integrity, the historical delivery capability of the contractor, and the sovereign or corporate rating of the paying Anchor. By isolating the cash flows of a specific, high-value contract and routing all milestone payments through a watertight escrow account, the bank effectively decoupling credit risk from the contractor's leveraged balance sheet.

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# Module 2: Structural Taxonomy & Comparative Analysis

To understand where Contract Receivable Discounting sits within the commercial credit ecosystem, a trainee must be able to distinguish its characteristics from traditional working capital loans and standard supply chain products. The following comparative taxonomy details these critical differences:

| Parameter | Contract Receivable Discounting (CRD) | Bilateral Factoring (Recourse) | Revolving Cash Credit (CC) Account |
|---|---|---|---|
| **Primary Purpose** | Monetizes certified milestones and progressive billing entitlements under active service/project contracts. | Monetizes already completed and dispatched physical goods invoices. | Provides generic, omnibus working capital based on aggregate stock and debt statements. |
| **Revolving Status** | Transaction-specific revolving limit; tranches are closed as milestones are paid directly to escrow. | Revolving invoice-by-invoice limit based on continuing sales ledgers. | Revolving annual limit subject to yearly renewal and monthly drawing power assessments. |
| **Interest Basis** | Daily reducing balance charged on actual disbursed tranches; EBLR/MCLR linked. | Discounting charge deducted upfront or monthly interest on advanced principal. | Interest debited monthly on the daily outstanding debit balance of the account. |
| **Primary Security** | Irrevocable Escrow account over contract cash flows, absolute assignment of book debts, and tripartite No-Dispute covenants. | Absolute assignment of actionable claims, with or without recourse; CERSAI registered charge. | Hypothecation of all current assets (stock, raw materials, WIP, generic debtors) and collateral land. |
| **Payment/Repayment Route** | Direct sweep from project escrow account funded by the AAA Anchor. | Direct payment from the buyer to the factor's bank account. | Credits from general operational cash flows of the corporate borrower. |
| **CERSAI Filing** | Mandatory filing within 30 days of charge creation on book debts (under SARFAESI Act, 2002). | Mandatory filing within 10 days of factoring transaction (under Factoring Regulation Act, 2011). | Mandatory charge registration with ROC and CERSAI over hypothecated current assets. |

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**Key Takeaway:** CRD represents a middle ground between long-term project finance and short-term invoice discounting. It bridges the gap by focusing strictly on the certified performance milestones of a single contract, isolating and mitigating the operational performance risks of the borrower while leveraging the credit strength of the payer.

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# Module 3: End-to-End Operational Lifecycle

The execution of a Contract Receivable Discounting package is structured across five sequential, highly controlled phases. Any breakdown in this operational loop exposes the bank to credit diversion and default risks.

## 3.1 Phase 1: Contract Award & Tripartite Escrow Setup

Upon receiving a formal Letter of Award (LoA) or contract from a highly rated corporate or public sector Anchor, the contractor applies to the bank for a CRD facility. The fundamental pre-requisite for sanctioning is the execution of a tripartite Escrow Agreement between the Contractor (Borrower), the Anchor (Payer), and the bank (Escrow Agent). The Anchor contractually covenants to route all progressive payments, mobilization advances, and milestone disbursements directly into the designated Escrow Account, which is controlled exclusively by the bank.

## 3.2 Phase 2: Upstream Execution & Mobilization (WIP Phase)

The bank dispatches initial tranches (mobilization financing) under the sanctioned limit to fund the purchase of raw materials and immediate project deployment. These funds are routed directly to suppliers through the bank's digital treasury systems, preventing cash diversion. During this phase, the contractor performs work, generating Work-in-Progress (WIP) assets on-site.

## 3.3 Phase 3: Milestone Achievement & Progress Certification

Once a specific milestone defined in the contract is achieved (e.g., completion of 10 kilometers of highway grading or successful deployment of Phase 1 software architecture), the contractor compiles the Billing Documents. This package includes the Joint Measurement Certificate (JMC) or progressive work-status report signed by both the contractor's engineers and the Anchor's authorized project management consultants (PMC). The contractor then uploads the verified e-Invoice onto the GSTN portal, generating an official IRN (Invoice Reference Number).

## 3.4 Phase 4: Tranche Discounting & Liquidity Injection

The contractor submits the certified milestone certificate, the generated e-invoice, and a formal drawdown request to the bank. The bank's operations desk cross-reconciles the invoice data with the GSTN GSTR-1/2B API in real-time. Upon successful validation, the bank discounts the receivable, advancing up to 75% to 85% of the certified bill value. The discounted proceeds are immediately credited to the contractor's cash credit or current account to support continuous project cash flow, while the remaining 15% to 25% is retained as a safety margin reserve.

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## 3.5 Phase 5: Escrow Payment Sweep & Line Retirement

On the contractually agreed maturity date (usually 60 to 90 days from milestone certification), the Anchor remits the full invoice amount (100%) directly into the Escrow Account. The bank's treasury system automatically detects the credit and executes a Sweep: first, it fully retires the outstanding discounted principal tranche; second, it recovers all accrued reduces interest and processing charges; third, it releases the remaining safety margin reserve (net of bank charges) back to the contractor's general operational current account.

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# Module 4: Transactional Credit Underwriting & Risk Metrics

Flow-based underwriting shifts the appraisal focus from historical balance sheet leverage to real-time transactional viability and performance capability. Credit officers must evaluate specific transaction-level risk parameters:

## 4.1 Promoter & Borrower Credit Profile

Although the transaction relies heavily on the payer's credit risk, the contractor's basic credit hygiene remains a fundamental barrier to entry. Key credit benchmarks include:

1. Promoter's Personal CIBIL Score: Must exceed 700 to ensure personal integrity and credit discipline.
2. CIBIL MSME Rank (CMR): The corporate borrower must possess a CMR of 1 to 4, representing low to moderate historic credit default risks.
3. Current Ratio: Under the Tandon Second Method of Lending, a minimum Current Ratio of 1.33:1 is standard, ensuring the company maintains a 25% net working capital margin from long-term funds.

## 4.2 Contract Quality & Payer Risk Alignment

Underwriters evaluate the structural integrity of the contract through several specific variables:

- Payer (Anchor) Creditworthiness: The paying entity must be a AAA or AA rated corporate, a Central Public Sector Enterprise (CPSE), or a state/central government department with allocated budget provisions.
- Historical Dilution and Liquidated Damages: Underwriters review historical contracts of the borrower to audit 'invoice dilution'—the difference between billed amounts and final paid amounts due to quality penalties, service level agreement (SLA) breaches, or liquidated damages. An invoice dilution rate exceeding 2.50% is a critical red flag, requiring a higher safety margin retention.
- Contract Margin and Leverage: The project's gross profit margin must comfortably exceed the cost of bank financing, and the borrower's debt-service coverage ratio (Short-Term DSCR) on contract-specific flows must exceed 1.25x.

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# Module 5: Legal Security, Charge Creation & Statutory Registrations

Securing a Contract Receivable Discounting facility requires a robust legal framework to prevent credit diversion and double-leveraging of contract flows. The following statutory mechanisms are mandatory:

## 5.1 Assignment of Actionable Claims (Section 130, Transfer of Property Act, 1882)

Under Indian law, trade receivables and contractual billing rights are classified as 'Actionable Claims.' To transfer legal ownership of these claims to the financier, a formal Deed of Assignment must be executed under Section 130 of the Transfer of Property Act, 1882. This deed contractually assigns the book debts and future receivables of the specified contract to the bank. Once executed and served upon the Anchor via a formal Notice of Assignment (NoA), the Anchor is legally barred from paying any entity other than the bank, and any payment made to other accounts does not constitute a valid legal discharge of the debt.

## 5.2 Tripartite No-Dispute Covenant and Set-off Waivers

The most critical operational risk in CRD is performance risk—the risk that the Anchor refuses to pay a milestone invoice due to a dispute over quality or timeline delays. To mitigate this, the bank mandates the inclusion of a 'No-Dispute Covenant' and 'Waiver of Set-off' clause within the tripartite escrow agreement. By signing this covenant, the Anchor formally acknowledges that once a milestone certificate is issued and signed by their PMC, their obligation to pay that specific invoice into the Escrow is absolute and unconditional, and they waive all rights of counter-claim, commercial set-off, or deductions against the financing bank.

## 5.3 Statutory Registrations: CERSAI & ROC Charge Filings

To protect senior lien status and prevent fraudulent double-pledging of the same contract receivables to multiple lenders, the bank executes mandatory registrations:

1. CERSAI Filing: Under the SARFAESI Act, 2002, and subsequent amendments, all charges created over book debts and receivables must be registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) within 30 days of charge creation. For factoring transactions, the Factoring Regulation Act, 2011 (with the 2021 Amendments) mandates a strict 10-day window for CERSAI charge registration.
2. ROC Form CHG-1: Under the Companies Act, 2013, a corporate borrower must file a Form

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CHG-1 with the Registrar of Companies (ROC) within 30 days of execution to register the bank's exclusive charge over the company's book debts and contract escrow cash flows.

## 5.4 Integration of Tata Capital's Master Terms & Conditions

The contractual structure incorporates the standardized risk frameworks established in Tata Capital's Master Terms and Conditions (Applicable for Invoice Discounting). Key clauses include:

- Conditions Precedent: No drawdown is permitted until the borrower submits a tax clearance certificate under Section 281(1)(ii) of the Income Tax Act, 1961, and provides a signed board resolution authorizing the absolute assignment of actionable claims.
- Continuing Obligations: The borrower covenants to maintain the primary escrow account in a credit-ready state, and any credit received outside the escrow must be remitted to the escrow within 24 hours (fiduciary holding trust).
- Event of Default Sweeps: In the event of a material adverse change or contract termination, the bank reserves the absolute right to freeze all operational current accounts and sweep 100% of outstanding book debts directly to recover the outstanding discounted principal.

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# Module 6: Sectoral Sizing, Suitable Industries & Market Dynamics

Contract Receivable Discounting is highly specialized, making it exceptionally suited for service-oriented, high-growth sectors with structured contractual billing milestones:

## 6.1 Target High-Growth Sectors in India

1. Infrastructure & Civil Engineering: NHAI road grading, railway electrification, bridge building, and municipal water pipeline installations. These projects rely heavily on Joint Measurement Certificates (JMCs) and progressive billing cycles.
2. IT Consulting & Custom Software Integration: Long-term digital transformation projects for global banks or state departments. Disbursements are linked to milestone User Acceptance Testing (UAT) certifications.
3. Engineering-Procurement-Construction (EPC) Contracts: Solar power plant setups, transmission grid construction, and industrial manufacturing plants.
4. Heavy Engineering & Defense Procurement: Designing and manufacturing specialized machinery, defense subsystems, or aerospace components under multi-year contracts with the Ministry of Defense (MoD) or public sector undertakings.

## 6.2 Market Analysis and Lending Portfolios

Citing CIBIL and SIDBI pulse commercial credit data, Retail and Wholesale Traders represent the largest volume segment of working capital borrowers, making up 44% of total active commercial borrowers in the ₹10 Lakh to ₹2 Crore exposure segment. While traders rely on fast-revolving Cash Credit lines and simple invoice discounting, the service-heavy and manufacturing sectors—representing 36% of active borrowers—rely heavily on structured products like CRD. This structural alignment is demonstrated by the massive digital portfolios of institutional leaders. For example, the State Bank of India (SBI) maintains a dominant presence in structured supply chain credit, with its electronic Dealer Financing Scheme (e-DFS) representing ₹49,261 Crores in active exposure, and its electronic Vendor Financing Scheme (e-VFS) at ₹28,092 Crores.

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# Module 7: Commercial Pricing Mechanics & Financial Models

The commercial pricing of a Contract Receivable Discounting package is structured to align with the risk profile of the transaction, leveraging daily reducing balance interest and tax-deductible interest shields:

## 7.1 Interest Benchmarking & Daily Reducing Mechanics

Interest rates are typically benchmarked against the bank's External Benchmark Lending Rate (EBLR) or Marginal Cost of Funds-based Lending Rate (MCLR), plus a risk-adjusted spread ranging from 1.50% to 3.50% p.a., resulting in a nominal borrowing rate of 8.50% to 11.50% p.a. Unlike term loans, interest is calculated daily strictly on the outstanding disbursed principal of the discounted tranche. Once a payment is swept into the escrow from the Anchor, the principal is retired, and interest accrual terminates instantly, optimizing cash flows.

## 7.2 GST Tax Treatment of Financing Fees

Under Central Board of Indirect Taxes and Customs (CBIC) guidelines, there is a clear distinction between core interest costs and service fees:

- Core Interest & Discounting Charges: Completely exempt from GST under Indian tax laws, ensuring that the primary cost of credit is not inflated.
- Upfront Processing Fees & Documentation Charges: Attract a standard 18% GST. Corporate borrowers can claim this 18% as Input Tax Credit (ITC) to offset their output GST liabilities on milestone bills, ensuring zero tax leakage.

## 7.3 The Interest Tax Shield (Section 36(1)(iii), Income Tax Act, 1961)

Under Section 36(1)(iii) of the Income Tax Act, 1961, any interest paid on capital borrowed for the purpose of business or profession is fully tax-deductible. This deduction creates an 'Interest Tax Shield,' reducing the effective post-tax borrowing cost of the corporate borrower. The mathematical formula for post-tax interest is:

Effective Post-Tax Interest Cost = Nominal Interest Rate * (1 - Corporate Tax Rate)

For an Indian corporate paying a standard corporate tax rate of 25.17% (under Section 115BAA), a nominal interest rate of 9.00% p.a. translates to an effective annualized post-tax cost of just 6.73% p.a., making structured contract financing significantly cheaper than diluting equity or raising expensive mezzanine debt.

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# Module 8: Regulatory Compliance & Technical Defaults

Commercial banks must execute CRD facilities within the strict regulatory guidelines established by the Reserve Bank of India (RBI). Failure to monitor compliance triggers automatic default classifications.

## 8.1 RBI IRACP Asset Classification and 'Out of Order' Defaults

Under the RBI's Income Recognition, Asset Classification and Provisioning (IRACP) norms, any revolving cash credit or discounting limit is classified as 'Out of Order' and subsequently treated as a Non-Performing Asset (NPA) if:

1. Excess Balances: The outstanding balance remains continuously in excess of the sanctioned limit or Drawing Power for 90 consecutive days.
2. Zero Credits: There are no credits in the designated escrow/cash credit account for 90 consecutive days, or the credits received are insufficient to cover the interest debited during the same 90-day window.

***The SMA Escalation Timeline***

To ensure early detection of stress, banks must monitor Special Mention Account (SMA) classifications:

- SMA-0: Principal or interest payment or any other amount wholly or partly overdue for 1 to 30 days.
- SMA-1: Overdue period between 31 to 60 days.
- SMA-2: Overdue period between 61 to 90 days.
- NPA: Overdue period exceeding 90 days.

## 8.2 The 180-Day Technical NPA Trigger

Beyond direct payment overdues, underwriters must monitor technical defaults that trigger automatic NPA classification under RBI guidelines:

1. Delayed Financial Reviews: A revolving trade line must be formally reviewed and renewed within 180 days from the scheduled expiry date. If the account is not renewed within 180 days of expiry, it is automatically classified as NPA, regardless of credit-readiness.
2. Stock and Receivables Statement Delays: Borrowers must submit certified receivables, WIP, and stock statements monthly. If stock/receivables statements are delayed and become 'historical' (exceeding 180 days), the drawing power is legally revalued to zero, and the outstanding balance is classified as a technical default, triggering immediate NPA classification.

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## 8.3 RBI Current Account Opening & Escrow Guidelines

To prevent credit diversion and maintain system-wide underwriting discipline, the RBI enforces strict rules on opening current and escrow accounts based on the borrower's total banking system credit exposure:

- Exposure < ₹5 Crores: No current account restrictions; banks may open current accounts freely, subject to standard KYC.
- Exposure between ₹5 Crores and ₹50 Crores: Borrowers can maintain current accounts only with banks that have provided at least 10% of the system-wide credit exposure. Non-lending banks are barred from opening current accounts.
- Exposure ≥ ₹50 Crores: The banking system must mandate a unified Escrow Mechanism. All operational cash flows must be routed through a single, designated Escrow Bank. Non-escrow lending banks can maintain only special 'collection accounts' that must sweep 100% of credits daily into the primary escrow account, preventing any local cash retention.

## 8.4 RBI Digital Lending Guidelines and Default Loss Guarantee (DLG) Caps

Where CRD is facilitated digitally through fintech Lending Service Providers (LSPs), banks must comply with the RBI's Digital Lending Directions and Customer Protection guidelines:

1. Default Loss Guarantee (DLG) Cap: Any credit enhancement or First Loss Default Guarantee (FLDG) arrangement between the LSP and the bank is strictly capped at a maximum of 5.0% of the aggregate loan portfolio exposure. This prevents systemic, under-the-radar credit risk transfers.
2. Disbursal Mandate: All credit disbursals and repayments must be executed directly between the bank's core balance sheet and the borrower's designated bank account, with zero routing through intermediary pool accounts controlled by LSPs.
3. Digital Recovery Controls: To protect consumer rights and prevent harassment, digital recovery agents are strictly prohibited from contacting borrowers outside the hours of 07:00 AM to 07:00 PM.

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# Module 9: Comprehensive Real-World Case Study

## 9.1 Scenario and Contract Parameters

To demonstrate the operational and mathematical mechanics of Contract Receivable Discounting, we examine a real-world scenario involving a Pune-based civil engineering contractor:

Borrower Profile: Mumbai Infrastructure Developers Ltd. (MIDL)
- Payer (Anchor): National Highways Authority of India (NHAI) (AAA Sovereign Rated)
- Contract Awarded: Six-lane highway grading and drainage construction in Maharashtra.
- Total Contract Value: ₹12,00,00,000 (₹12 Crores).
- Billing Milestones: 4 progressive milestones of ₹3,00,00,000 (₹3 Crores) each, certified by NHAI's PMC.

## 9.2 Underwriting Appraisal & MPBF Calculation

MIDL applies to State Bank of India (SBI) for a structured Contract Receivable Discounting line. The underwriting desk appraises the transaction using the Tandon Committee Second Method of Lending to establish the Maximum Permissible Bank Finance (MPBF) limit:

| Appraisal Parameter | Formula / Value | Amount in Indian Rupees (₹) |
|---|---|---|
| **Projected Total Current Assets (TCA)** | Inventory (WIP) + Certified Debtors | **₹3,50,00,000** |
| **Other Current Liabilities (OCL)** | Sundry Creditors (Materials) | **₹75,00,000** |
| **Working Capital Gap (WCG)** | TCA - OCL | **₹2,75,00,000** |
| **Minimum Net Working Capital (NWC)** | 25% of Total Current Assets (TCA) | **₹87,50,000** |
| **Maximum Permissible Bank Finance (MPBF)** | WCG - NWC (Second Method) | **₹1,87,50,000** |
| **Sanctioned CRD Credit Limit** | Rounded based on Debt Service Coverage | **₹1,80,00,000** |

**Underwriting Sanction Checklist:** SBI sanctions a CRD limit of ₹1.80 Crores (₹1,80,00,000). To support the high-intensity billing cycle, the bank splits the limit into: (a) ₹1,00,00,000 Working Capital Demand Loan (WCDL) for raw materials, and (b) ₹80,00,000 Invoice Discounting line for milestone certification tranches. MIDL contributes ₹87,50,000 as equity NWC, satisfying the 1.33:1 Current Ratio mandate under the Second Method of Lending.

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## 9.3 Tranche Discounting Mathematics and Pricing

On Day 1, MIDL completes 'Milestone 1' (value ₹3,00,00,000) and secures PMC certification. The invoice is registered on the GSTN portal (IRN generated), and submitted to SBI for discounting. The bank applies an 85% advance rate, retaining a 15% safety margin reserve:

1. Milestone Invoice Value: ₹3,00,00,000 (₹3 Crores)
2. Advanced Principal (85%): ₹2,55,00,000 (₹2.55 Crores)
3. Margin Retention Reserve (15%): ₹45,00,000 (held by bank)
4. Discounting usance: 90 Days usance terms.

***Financing Cost Computations***

The bank finances the drawdown at EBLR + 2.00% p.a. spread, resulting in a nominal interest rate of 9.50% p.a. (daily reducing balance):

- 90-Day Nominal Interest Cost: ₹2,55,00,000 * 9.50% * (90 / 365) = ₹5,97,328.77 (Exempt from GST)
- Upfront Bank Processing Fee (0.25% of advanced principal): ₹2,55,00,000 * 0.25% = ₹63,750.00
- GST on Processing Fee (18% standard rate): ₹63,750 * 18% = ₹11,475.00
- Total Upfront Service Charges: ₹63,750 + ₹11,475 = ₹75,225.00 (Fully ITC recoverable)
- Day 1 Net Disbursed Payout to MIDL's Cash Credit: ₹2,55,00,000 - ₹75,225.00 = ₹2,54,24,775.00

***The Interest Tax Shield Benefit***

Under Section 36(1)(iii) of the Income Tax Act, 1961, MIDL offsets the ₹5,97,328.77 interest expense against its corporate income tax liability (corporate tax rate 25.17%):

- Corporate Tax Shield Savings: ₹5,97,328.77 * 25.17% = ₹1,50,347.65
- Net Post-Tax Interest Cost: ₹5,97,328.77 - ₹1,50,347.65 = ₹4,46,981.12
- Effective Annualized Post-Tax Borrowing Rate: 7.11% p.a.

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## 9.4 Day 90 Maturity & Escrow Direct Sweep

On Day 90, NHAI remits the full milestone payment of ₹3,00,00,000 (100%) directly into the designated SBI Escrow Account. The bank's treasury system automatically executes the direct sweep settlement:

1. Total Escrow Credit Inflow: ₹3,00,00,000
2. Less: SBI sweeps ₹2,55,00,000 to retire the advanced discounted principal tranche.
3. Less: SBI sweeps ₹5,97,328.77 to recover the accumulated usance reducing interest.
4. Less: SBI recovers ₹63,750.00 (processing fee) and ₹11,475.00 (GST) if not paid on Day 1.
5. Net Surplus Released: SBI releases the remaining ₹38,27,446.23 (representing the ₹45,00,000 safety margin reserve, net of interest and service fees) directly back to MIDL's primary current account.
6. Outcome: The Milestone 1 credit line is fully retired, leaving zero outstanding liability on the bank's books, while MIDL maintains continuous liquidity to mobilize Milestone 2.

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# Module 10: 10-Question Certification Examination

This mock certification examination is designed to test trainees, advisors, and corporate credit specialists on all aspects of Contract Receivable Discounting. Complete with detailed answers and rationales.

***Question 1 (Deeming Fiction and IGST Law)***

Under Section 10(1)(b) of the Integrated Goods and Services Tax (IGST) Act, 2017, how is the 'deeming fiction' defined for inter-state Bill-to-Ship transaction structures?

A) Goods are deemed to be received by the transporter, relieving both supplier and third party of tax liabilities until customs clearance.

B) Where goods are delivered by the supplier to a recipient on the direction of a third person, it shall be deemed that the third person has received the goods.

C) It mandates that all goods must be physically shipped to the borrower's head office before being routed to the project site.

D) Deeming fiction is completely prohibited for supply chain transactions exceeding ₹1 Crore.

**★ Rationale & Analysis:**

*Correct Option: B. Under Section 10(1)(b) of the IGST Act, 2017, the statute establishes that when goods are delivered to a recipient on the instructions of a third party, that third party is legally deemed to have received the goods, providing a solid tax foundation for structured Bill-to-Ship contract financing.*

***Question 2 (Tandon Committee MPBF Ratio Benchmarks)***

Under the Tandon Committee Second Method of Lending, what is the mandatory minimum Current Ratio and promoter equity contribution benchmark required for corporate borrowers to qualify for structured credit facilities?

A) A minimum Current Ratio of 1.10:1 and a 15% net working capital margin from short-term borrowing.

B) A minimum Current Ratio of 1.33:1 and a 25% net working capital margin from long-term funds.

C) A minimum Current Ratio of 1.50:1 and a 50% fixed asset collateral lock-in.

D) Ratio-based lending has been completely abolished under the updated RBI Credit Directions, 2025.

**★ Rationale & Analysis:**

*Correct Option: B. The Tandon Committee Second Method of Lending requires a minimum Current Ratio of 1.33:1, mandating that the borrower contribute at least 25% of Total Current*

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*Assets (TCA) as Net Working Capital (NWC) from long-term funds, which is a standard underwriting benchmark for CRD.*

***Question 3 (Legal Receivables Transfer and Actionable Claims)***

Under which statutory provision of Indian law is the absolute assignment of trade receivables (book debts) as 'Actionable Claims' legally executed and served upon the Anchor?

A) Section 138 of the Negotiable Instruments Act, 1881.

B) Section 130 of the Transfer of Property Act, 1882.

C) Section 172 of the Indian Contract Act, 1872.

D) Section 10(1)(b) of the CGST Act, 2017.

**★ Rationale & Analysis:**

*Correct Option: B. Section 130 of the Transfer of Property Act, 1882, is the definitive statutory provision governing the absolute assignment of actionable claims (including trade receivables and contract book debts) to the bank, establishing absolute legal title and senior lien rights.*

***Question 4 (Factoring CERSAI Registration Windows)***

Under the Factoring Regulation Act, 2011 (with the 2021 Amendments), what is the strict statutory timeline within which factors must register factoring transaction charges with the CERSAI portal to prevent duplicate pledging fraud?

A) Registered within 30 days from the date of the first payment sweep.

B) Registered within 10 days from the date of creation of the charge or assignment.

C) Registered within 45 days from the date of milestone PMC certification.

D) TReDS and factoring platforms are completely exempt from CERSAI filing under RBI directions.

**★ Rationale & Analysis:**

*Correct Option: B. The Factoring Regulation (Amendment) Act, 2021, dramatically tightened the statutory window for registering factoring transactions on CERSAI, reducing it to within 10 days of charge creation to eliminate duplicate invoice pledging fraud in real-time.*

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***Question 5 (RBI Asset Classification & 'Out of Order' Defaults)***

Under the RBI's Income Recognition, Asset Classification and Provisioning (IRACP) guidelines, when is a revolving cash credit or discounting limit classified as 'Out of Order'?

A) If the account is not formally renewed within 360 days of scheduled expiry.

B) If the outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for 90 consecutive days, or if credits are insufficient to cover interest debited during the same period.

C) If the customer files a GSTR-3B tax return with a delayed payment penalty of over 18%.

D) Immediately upon the borrower entering SMA-1 status on day 31.

**★ Rationale & Analysis:**

*Correct Option: B. The RBI IRACP guidelines define an account as 'Out of Order' if the balance exceeds the limit/DP for 90 consecutive days, or if there are no credits for 90 days, or credits are insufficient to cover interest, triggering an automatic NPA classification.*

***Question 6 (The 180-Day Technical NPA Trigger)***

An infrastructure contractor's CRD revolving credit line expired on March 31, 2026. Under the RBI's credit management guidelines, what is the maximum permissible technical extension window before the account is automatically classified as NPA, regardless of credit-readiness?

A) Must be formally reviewed and renewed within 30 days from expiry.

B) Must be formally reviewed and renewed within 180 days from the scheduled expiry date.

C) Automatically classified as NPA on Day 90 without any grace period.

D) Technical reviews are valid for up to 3 years under the Companies Act, 2013.

**★ Rationale & Analysis:**

*Correct Option: B. RBI directions on credit management stipulate that any revolving credit line or working capital limit must be formally reviewed and renewed within 180 days of scheduled expiry, beyond which the account is automatically classified as a technical NPA.*

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***Question 7 (RBI Current Account & Escrow Exposure Limits)***

Under the RBI's current account guidelines, what is the exposure threshold at which the banking system must mandate a single, unified Escrow Mechanism, requiring all operational cash flows to route through a single Escrow Bank?

A) Total system-wide credit exposure equal to or exceeding ₹5 Crores.

B) Total system-wide credit exposure equal to or exceeding ₹50 Crores.

C) Capped at ₹10 Lakhs under Priority Sector Lending guidelines.

D) No current account restrictions apply to government projects like NHAI.

**★ Rationale & Analysis:**

*Correct Option: B. Under RBI guidelines, for borrowers with aggregate banking system exposure equal to or exceeding ₹50 Crores, a unified Escrow Mechanism is mandatory, requiring all cash flows to route through a single, designated Escrow Bank to prevent capital diversion.*

***Question 8 (RBI Digital Lending LSP Default Loss Guarantee Caps)***

Under the RBI's Digital Lending Directions and Customer Protection guidelines, what is the maximum permissible cap on Default Loss Guarantee (DLG) arrangements between a bank and a Lending Service Provider (LSP)?

A) Capped at a maximum of 2.0% of the aggregate credit portfolio balance.

B) Capped at a maximum of 5.0% of the aggregate loan portfolio exposure.

C) Capped at a maximum of 10.0% of the aggregate loan portfolio exposure.

D) DLG arrangements are completely prohibited for digital supply chain portfolios.

**★ Rationale & Analysis:**

*Correct Option: B. To prevent systemic risk and ensure credit discipline, the RBI's digital lending guidelines strictly cap any First Loss Default Guarantee (FLDG) or Default Loss Guarantee (DLG) arrangements with LSPs at a maximum of 5.0% of the aggregate loan portfolio exposure.*

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***Question 9 (GST Treatment of Trade Finance interest and Fees)***

Under Indian tax guidelines, how are the core interest components and upfront processing fees treated for GST purposes during a structured Contract Receivable Discounting transaction?

A) Core interest and discounting components are exempt from GST, while processing fees and documentation charges attract a standard 18% GST (which qualifies for corporate Input Tax Credit).

B) A flat GST of 18% is applied to the entire loan principal, which is non-recoverable.

C) Core interest is taxed at 5% GST, while processing fees are completely GST-exempt.

D) Both interest and service fees are 100% exempt from GST under agricultural trade incentives.

**★ Rationale & Analysis:**

*Correct Option: A. Under CBIC guidelines, core interest and invoice discounting charges are completely GST-exempt. However, upfront service charges like processing fees and documentation attract 18% GST, which corporate borrowers can recover as Input Tax Credit (ITC).*

***Question 10 (Income Tax Act Section 36(1)(iii) Interest Tax Shields)***

A corporate borrower incurs a nominal annual interest expense of 9.00% on its discounted milestone tranches. If the company operates at a standard corporate tax rate of 25.17%, what is the effective post-tax borrowing cost, leveraging the Section 36(1)(iii) Interest Tax Shield?

A) 9.00% p.a. (tax deductions do not apply to transaction-backed discounting lines).

B) 6.73% p.a. (calculated as 9.00% * (1 - 0.2517)).

C) 4.50% p.a. (subject to a flat 50% tax rebate under MSME incentives).

D) 11.26% p.a. (after adding deferred GST surcharge rates).

**★ Rationale & Analysis:**

*Correct Option: B. Under Section 36(1)(iii) of the Income Tax Act, 1961, business interest expenses are fully tax-deductible. The tax shield savings equal the nominal interest times the tax rate (9% * 25.17% = 2.27%), resulting in an effective post-tax cost of 6.73% p.a. (9.00% - 2.27%).*

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